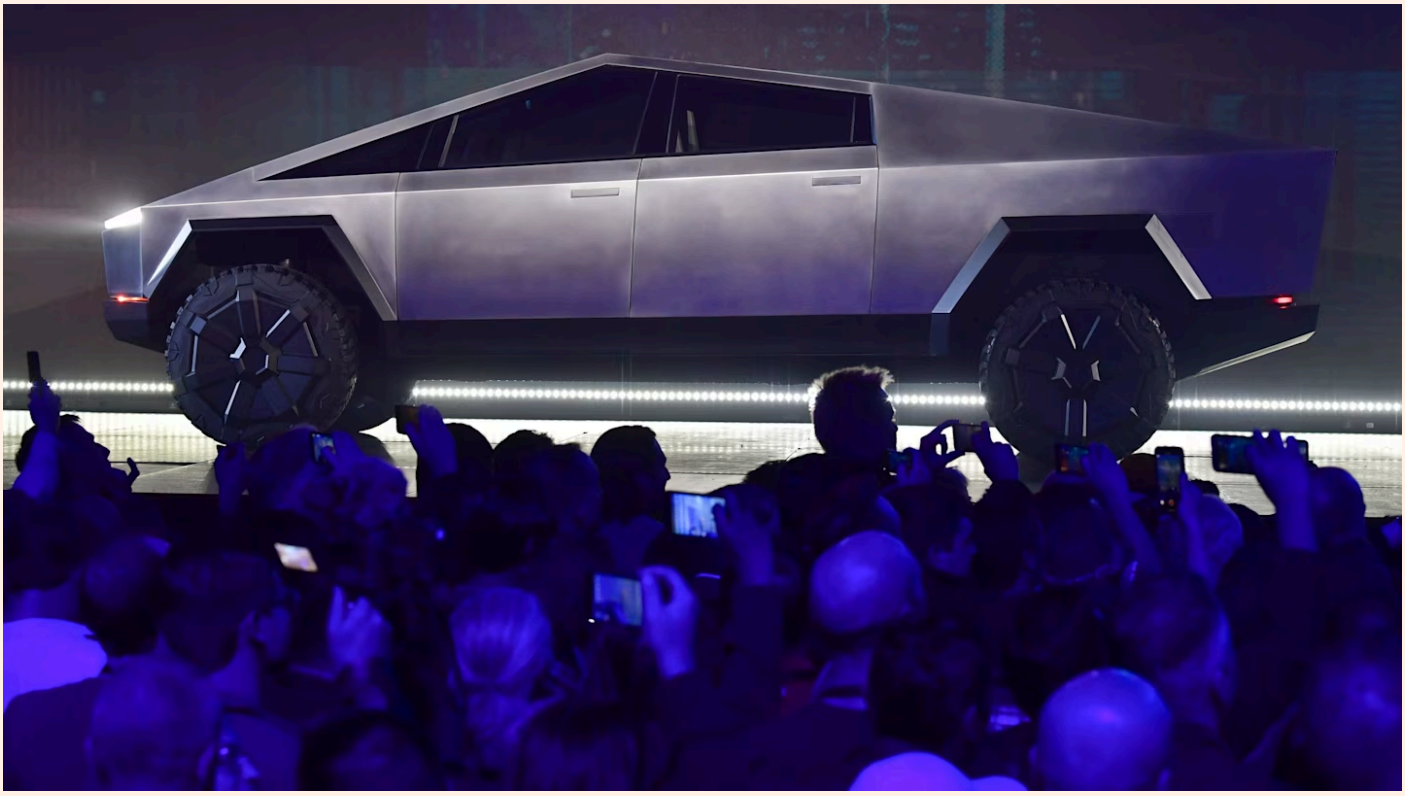
Tesla Inc

Tesla to axe Cybertruck as Musk shifts focus to robotics and AI

Carmaker will wind down production of futuristic pick-up truck at its gigafactory in Texas



The Cybertruck faced several recalls and safety issues © Frederic J Brown/AFP/Getty Images

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Tesla will stop production of its Cybertruck following weak sales and multiple recalls on a product that Elon Musk described as “a futuristic battle tank” designed to be the “toughest” pick-up truck on the market.

In a post on X, Musk said on Friday that the carmaker was “winding down” production of the Cybertruck at its gigafactory in Texas around the middle of next year as it switches to boosting output of its self-driving taxi Cybercab.

The product’s lead engineer Wes Morrill posted on social media: “Cybertruck was an incredible technology development platform and lives on through Cybercab.”

The electric vehicle maker also ended production of its premium Tesla S and X models this year as Musk shifts the group’s focus and investments to robotics and artificial intelligence.

Despite Tesla's ambitions when it was unveiled in 2019 and launched in 2023, the Cybertruck has become one of the biggest product flops for Musk and faced several recalls and safety issues.

Musk originally said Tesla would aim to produce between 250,000 and 500,000 Cybertrucks a year.

Cox Automotive estimates that Tesla sold 11,586 Cybertrucks from January to September, down 28 per cent from a year earlier and representing a 1.6 per cent market share in EVs in the US. Analysts had expected 22,000 Cybertrucks to be sold this year.

Amid sluggish consumer demand, Musk's rocket company SpaceX has been one of the biggest buyers of Cybertrucks from Tesla. The two companies are exploring a mega-merger, which Musk has described as "a good idea".

Despite the demise of the Cybertruck, Tesla is not pulling out of the truck market altogether. The group began mass production of its long-awaited electric Semi Truck in April, as it seeks to accelerate the shift away from diesel trucks amid surging fuel prices caused by the conflict in the Middle East.

Musk has said the group will focus on sales of AI-powered humanoid "Optimus" robots, self-driving golden Cybercabs and the Semi Truck, as its traditional EV business comes under pressure from the rise of Chinese competitors.

During its latest earnings, Tesla said it would aim to deliver Cybercabs to customers by the end of 2026.

Shares in Texas-based Tesla have fallen 15 per cent since the Republican Party suffered heavy losses in the US midterm elections, in part reflecting voter anxiety about the rise of AI and Big Tech.

Despite Musk spending more than $200mn backing Republican candidates for the Senate and governorship, Texas elected Democrats to both positions for the first time in decades.

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